ST3188 Case Study: Client Brief

Client	Spotify Technology S.A. ("Spotify")
Information	Spotify is a global audio streaming company offering on-demand access to music, podcasts, and audiobooks across more than 180 markets. The platform operates on a freemium model, combining an advertising-supported free tier with several subscription tiers (including Individual, Duo, and Family plans). Spotify's extensive catalogue is supplemented by exclusive podcast content and a growing audiobook offering. Spotify differentiates itself through personalised recommendation algorithms central to user engagement and brand identity.
Business objectives	Spotify seeks to grow its global subscriber base while improving conversion from its free, advertising-supported tier to paid subscriptions. Its focus is on deepening user engagement through personalisation, scaling its existing podcast and audiobook offering, and strengthening relationships with artists, labels, and creators. Profitability and margin improvement are increasing priorities alongside subscriber growth. Spotify wants to expand its presence in emerging markets and to explore new monetisation avenues, including live events, merchandise, and superfan features, while defending its market position against competitors.
Research aims	Spotify wants to understand listener preferences across music, podcasts, and audiobooks, and how these vary by demographic segment (notably Gen Z and millennials). It wants to identify what drives conversion from the free tier to paid subscriptions, and what factors lead to cancellation (churn). Spotify is keen to evaluate the perceived value of its personalisation features in building brand loyalty, and to understand appetite for potential new features. Spotify also wants to assess how price sensitivity and macroeconomic conditions affect subscription decisions, and listeners' perceptions of competitors.
Designs to consider	The survey should include Spotify's free-tier users and paid subscribers across all subscription plans, as well as customers of its main competitors such as Apple Music, YouTube Music, and Amazon Music. Spotify prefers an online methodology, but is willing to consider other designs if justified. A database of registered Spotify users (both free and paid) who have consented to research contact would be made available.
Suggested analysis	Possible multivariate statistical techniques include analysis of variance, regression, factor analysis, and cluster analysis (among others). However, Spotify requires a justification of why any proposed techniques would help meet the research aims.
Suggested sample size	At least 5,000 Spotify users globally, segmented appropriately across subscription tier, content preference, and geographic region, although the company is unsure how many "competitor customers" to sample so would like advice on the appropriate sample size of competitor customers.
Budget and timescale	Spotify has a substantial budget and would like the research to be completed within a six-month window.

This case study brief is for the 2026-27 academic year.